Research Evolution - Amazon Project 1

Final submission draft | Prepared October 19, 2026

AI-assisted educational coursework; not financial or investment advice. This report distinguishes documented artifacts from unverified submission history. Final draft describes the document version, not certification that every project requirement is complete.

Original record and company switch

The original local Project 1 Edition A analyzes Meta Platforms. Its position is watch/defer, with a central question about the incremental return from AI-related capital spending and advertising monetization. An unchanged copy is included as META-Original-Edition-A.md. Its bytes were compared with the original local file; submission and instructor approval have not been independently verified.

The student subsequently selected Amazon and requested a new model. The Amazon Company-Switch Research Note was prepared after that model existed. It is later analysis supporting Edition B, not an original Amazon Edition A, a pre-model checkpoint, or an independent retrospective recollection. The original META document remains unchanged in accordance with the professor's record-keeping clarification supplied by the student.

What changed in the analysis

The question of whether AI investment earns adequate cash returns carries across companies, but the operating mechanisms differ. META's starting note emphasizes advertising monetization. Amazon's model separates AWS, North America, and International, linking operating performance to infrastructure investment and free cash flow. Neither a numerical before/after target-price comparison nor an undocumented change in the student's personal beliefs is claimed.

Consequential source check

The AI-assisted comparison used Amazon's February 5, 2026 earnings release. Management's approximately $200 billion company-wide 2026 capex outlook supports an initial investment anchor. It does not establish an AWS-only budget, the later spending decline, or the model's 0.65 AWS capacity-response coefficient. Cash purchases and assets acquired through leases still require reconciliation.

Disposition: qualify the forecast. The initial amount is guidance-informed; later investment behavior remains judgment. Higher investment requirements can reduce cash available to investors and change the model's value. The source comparison was guided by AI and is not represented as the separate independent student check.

Current conclusion and evidence

The historical February 6, 2026 exercise forecasts 2026-2030. The model produces $73.31 per share, with 94.2% of enterprise value arising from the terminal period. The research position is watch/defer initiation

while the economic assumptions are validated. The Decision Memo explains this conditional conclusion.

Local final recordings now exist. Their measured durations are 3:16.467, 4:57.267, and 4:50.609 for Videos 1-3. Existence and duration are verified; full audiovisual content, hosted access, corrected transcripts, and timestamp indexes are not yet verified. No original Amazon baseline or completed AI-off work is inferred from the recordings.

Record trail and remaining evidence

Original META Edition A; Amazon Company-Switch Research Note; data/inputs.json; model.py; outputs/analysis.json; assumption-challenges.md; Validation-and-AI-Use.pdf. Preserve dated later versions. Independent source review, student prediction records, partner reproduction, and instructor access remain to be evidenced.

Primary sources: Amazon FY2025 Form 10-K and February 5, 2026 earnings release, with exact URLs in data/inputs.json. The company-switch note contains direct links. Instructor acceptance of the company switch and historical cutoff is not established by the supplied Edition A clarification.